

Looking at Figure 5.9 shows that the long-only version moves up in a reasonable smooth pattern, showing solid results and matching the long/short version quite well. The short-only strategy has an odder pattern and does not move up anywhere near as much as the long version. This distinction is not the important piece of information, however, which comes when you compare the results of the short-only strategy to that of the MSCI World Index. Note that when the world equity markets suffer, the short side of the strategy tends to do very well. Don't underestimate the value of this effect. During equity bear markets, very few strategies do well and the help that the short side of this strategy can provide during these times makes a big difference. Even more importantly though, during the times of serious market distress, when things are getting really scary for most market participants and there are few places to hide, the short side of the strategy tends to spike up and show excellent profits. It is not necessarily short equity index futures that yield the big profits in these bearish years, it may also be short energies and similar. The rather extreme performance of trend-following futures in 2008 was in a large part accomplished by the short side and those managers who had chosen to forgo the shorts only had long rates left to save the year.

It is tempting for a strategy developer to follow the easy path and just 'optimise' the short side away. It looks like a no-brainer, giving higher volatility adjusted ratios, decreasing trading, and lowering overall exposure. Still, you should take some more time to think through whether you do

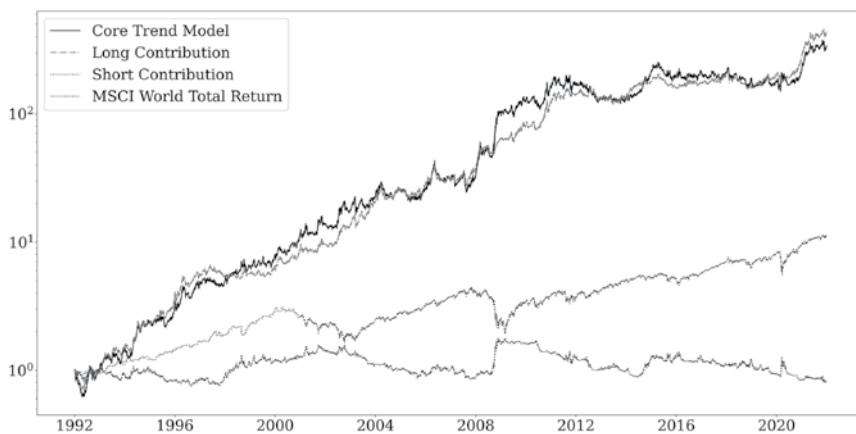


FIGURE 5.9 Comparing long versus short.